Grade 7 Name____________________

Unit 7 Date____________________

Lesson 8 Practice Period____________________

1. How much interest would an investment of $\$4{,}850$ during a 4-year period with a 3% simple interest rate make?

$I = 4850(0.03)(4)$

$= \$582$

2. An amount of $\$780$ is put into a savings account. The savings account has a 4% simple interest rate. How much money would the account have by the end of 4 years if no money is withdrawn?

$I = 780(0.04)(4) =$

$$\begin{array}{r} 124.80 \\ \underline{+780.00} \\ \$904.80 \end{array}$$

3. How much money would an investment of $\$6{,}860$ during a 3-year period with a 5% simple interest rate make?

$I = 6860(0.05)(3)$

$= \$1{,}029$

Use the following for question 4-5.

An amount of $\$520$ is put into a savings account. The account has a 3% simple interest rate.

4. How much interest would the account have by the end of 8 years.

$I = 520(0.03)(8)$

$= \$124.80$

5. What is the total amount in the account after 8 years if no money is withdrawn?

$$\begin{array}{r} 520.00 \\ \underline{+124.80} \\ \$644.80 \end{array}$$

6. Gil invests $\$3{,}700$ for 10 years at a simple interest rate of 3%. How much will be in the account at the end of the 10 years?

$I = (3700)(0.03)10 = \quad 1{,}100$

$$\begin{array}{r} 1{,}100 \\ \underline{+3700} \\ \$4{,}810 \end{array}$$

Use the following for question 7-10.

Gloria is taking out a 7-year loan to buy a new car. Her loan is $\$38{,}000$ with a 4% simple interest rate.

7. How much interest, in dollars, will Gloria have to pay over the seven years?

$I = 38{,}000(0.03)(7)$

$= \$10{,}640$

8. How much interest, in dollars, will Gloria have to pay annually?

$\frac{10640}{7} = \$1{,}520$

9. What is the total amount Gloria will have to pay back at the end of the 7-year loan?

$38{,}000 + 10{,}640 = \$48{,}640$

10. Gloria has the option of taking out a 5-year loan with a 5% simple interest rate instead. Which option would she have to pay back the least amount of money at the end of the loan? Explain.

$I = 38{,}000(0.05)(5)$

$= \$9500$

The second loan is the better option because you'll pay less in interest and therefore pay less for the total amount owed.